# MASTER SERVICES AGREEMENT - INTEGRATED FACILITIES MANAGEMENT

between **Harlow Health NHS Trust** (the "Trust") and **Northgate Facilities Services Limited** (the "Supplier"). Dated 1 April 2023.

## 1. Definitions and Interpretation

1.1 "Annual Charges" means the charges payable by the Trust for the Services in each Contract Year, estimated at the date of this Agreement to be approximately GBP 28,000,000 per annum.

1.2 "Change of Control" means any transaction or series of transactions as a result of which a person or group of persons acting in concert acquires, directly or indirectly, more than 30% of the voting shares of the Supplier or the power to direct its management and policies.

1.3 "Key Performance Indicators" or "KPIs" means the performance measures set out in Schedule 2.

1.4 "Persistent Failure" has the meaning given in clause 4.4.

## 2. Term

2.1 This Agreement commences on 1 April 2023 and, unless terminated earlier in accordance with its terms, continues for an initial term of five (5) years expiring on 31 March 2028.

2.2 The parties may extend the term by written agreement for up to two further periods of twelve (12) months each.

## 3. Services

3.1 The Supplier shall provide hard and soft facilities management services (including planned and reactive maintenance, cleaning, security, catering support and portering) across the Trust's sites listed in Schedule 1.

3.2 The Supplier shall perform the Services with reasonable skill and care and in accordance with Good Industry Practice.

## 4. Service Levels and Service Credits

4.1 The Supplier shall meet or exceed each KPI. The headline KPI is Site Availability of not less than 98.5% in each calendar month.

4.2 If the Supplier fails to meet a KPI in any month (a "KPI Failure"), the Trust may deduct a service credit equal to 2% of the monthly charges for that month, up to a maximum of 10% of the monthly charges.

4.3 Service credits are a price adjustment and are without prejudice to the Trust's other rights and remedies.

4.4 A "Persistent Failure" occurs if three (3) or more KPI Failures occur in any rolling period of six (6) months. Upon a Persistent Failure the Trust may terminate this Agreement in whole or in part by giving thirty (30) days' written notice, without liability for any termination payment.

## 5. Charges and Indexation

5.1 The Trust shall pay the charges set out in Schedule 3 monthly in arrears within thirty (30) days of receipt of a valid invoice.

5.2 Charges shall be adjusted annually on 1 April by the percentage change in CPI over the preceding twelve months, capped at 3.0%.

5.3 Variations and additional works outside the scope of Schedule 1 shall be charged at the rates in Schedule 4.

## 6. Change of Control

6.1 The Supplier shall notify the Trust in writing within ten (10) Business Days of becoming aware of any proposed or actual Change of Control.

6.2 If a Change of Control occurs without the prior written consent of the Trust (such consent not to be unreasonably withheld where the acquirer demonstrates equivalent financial standing and capability), the Trust may terminate this Agreement by giving not less than thirty (30) days' written notice at any time within twelve (12) months of the Change of Control.

6.3 No termination payment is payable by the Trust following termination under clause 6.2, and the Supplier shall provide exit assistance at its own cost.

## 7. Liability

7.1 Subject to clause 7.3, the total aggregate liability of each party in each Contract Year shall not exceed one hundred per cent (100%) of the Annual Charges.

7.2 Neither party shall be liable for indirect or consequential loss.

7.3 Nothing in this Agreement limits liability for death or personal injury caused by negligence, fraud, or any liability that cannot lawfully be limited.

## 8. Termination

8.1 Either party may terminate this Agreement on written notice if the other commits a material breach which is not remedied within thirty (30) days of notice.

8.2 Either party may terminate immediately on the insolvency of the other.

## 9. General

9.1 This Agreement is governed by the laws of England and Wales and the courts of England and Wales have exclusive jurisdiction.

9.2 Neither party may assign this Agreement without the prior written consent of the other, such consent not to be unreasonably withheld.

Executed as an agreement. Signature blocks omitted in this synthetic version.